

Question:

If a bag of marbles costs \$20 and the price increases by 20% of the original price every two months, how much would a bag of marbles cost after 36 months?

Reasoning + Answer:

<think>Initially the price of the bag of marbles is 20 dollars . After every 2 months the price increases by 20 % of the original price . After 36 months . First let's calculate how many times the price increases . Since the price increases every 2 months . After 36 months . $36 / 2 = 18$ times . Now let's calculate the price after each increase . Initially the price is 20 dollars . After the first increase . The price increases by 20 % of 20 dollars . $20 * 0 . 2 = 4$ dollars . Therefore after the first increase the price becomes $20 + 4 = 24$ dollars . Now let's consider the general case . Let's denote the price after n increases as P(n) . Initially P (0) = 20 . After the first increase P (1) = P (0) + P (0) * 0 . 2 . After the second increase P (2) = P (1) + P (1) * 0 . 2 . We can see that this follows a geometric progression . Where each term is multiplied by 1 . 2 . Therefore after n increases the price will be $P(n) = 20 * 1 . 2 ^n$. Now let's calculate the price after 18 increases . $P (18) = 20 * 1 . 2 ^{18}$. Using a calculator to compute the value . $20 * 1 . 2 ^{18} = 20 * 39 . 363 = 787 . 26$ dollars . Therefore after 36 months the price of the bag of marbles would be 787 . 26 dollars . </think><answer>787 . 26</answer>

